

Performance and Compensation Policy

Performance Review Cycle

Northwind Retail Corp. runs two formal performance reviews each year: a mid-year check-in in July and a full annual review in January. Both reviews are conducted in the HR portal and combine employee self-assessment, reporting manager assessment, and peer feedback.

Rating Scale

Performance is rated on a five-point scale: Outstanding, Exceeds Expectations, Meets Expectations, Partially Meets Expectations, and Does Not Meet Expectations. Ratings are calibrated across each department before release to ensure consistency between managers.

Annual Increments and Bonus

Salary increments take effect from 1 April each year and are based on the January review rating, the employee's position in the salary band, and overall company performance. The annual performance bonus is paid with the April payroll and is prorated for employees who joined partway through the review year.

Promotions

Promotion decisions are made twice a year, alongside the January and July review cycles. Candidates are normally expected to have spent at least 18 months in their current role and to have received a rating of Exceeds Expectations or above in their most recent review. Promotions are recommended by the reporting manager and approved by the department head and HR.

Performance Improvement Plans

An employee rated Does Not Meet Expectations is placed on a formal Performance Improvement Plan of 60 days, with written objectives agreed between the employee, the reporting manager, and HR. Progress is reviewed fortnightly. Successful completion closes the plan; an unsuccessful outcome may lead to a role change or termination of employment.

Payroll Schedule

Salaries are credited on the last working day of each month. Payslips are available in the HR portal from the first working day of the following month. Payroll cut-off for changes such as bank details, tax declarations, or reimbursements is the 20th of the month.